75% of GDP: Libya's budget deficit—the worst in the world

HOW GOVERNMENTS RAISE MONEY

Governments can raise funds to meet their spending commitments in three different ways. Each strategy has advantages and disadvantages.

› **Taxes** Governments can levy taxes on what the population earns and owns, and on foreign trade. Taxes are safe, but unpopular.

› **Borrowing** Governments can borrow from their own citizens—through pension funds for example—or from abroad. But loans incur interest charges.

› **Printing money** A government can print its own money. This seemingly simple solution is rare because of the risks it entails (*see pp.144–5*).